1970's, which rationalized P/E's of 40–80, is as valuable as the various discussions of risk adjusted returns. In fact, a study of the history of portfolio management concepts has only one objective, that of reinforcing the idea that there really is no answer except that of recognizing, through common sense, the infrequent extremes of human fear and greed, and keeping in mind that there is such a thing as a sensible price for a business.

As Aldous Huxley once put it, "How can we have a brave new world with all the same old people in it?" The quest for investment success is unending. The "answers" that are always being "discovered" are inevitably based upon relatively recent history either empirically or in terms of a subconscious psychology. What worked well in the past is presented as a prescription for the future. In fact, such prescriptions may work for a while and gain a large "fan club" which ultimately carries some specific concept to an extreme and then to its downfall, as demonstrated dramatically by the so-called "growth stocks" of the 1960's. Currently, the questioning of equities as inflation hedges is probably a skepticism based on recent history which will ultimately have its demise. Often the successful life span of such historically based prescriptions is quite short. Let's take a look at a few of the more striking examples:

Fixed Trusts

In case the current proponents of "passive cores" for portfolios have not discovered their ancestors, the early 1930's provide an example of passive investing *in extremis* in the form of the fixed trust.

The bankers, investment bankers, and industrialists who had become heroes to investors of the 1920's by using leverage and alleged inside information to create outstanding